



Uganda Revenue Authority  
DEVELOPING UGANDA TOGETHER

# A GUIDE ON TAX INCENTIVES

## AVAILABLE TO THE INVESTORS IN UGANDA



SEVENTH EDITION  
2024-2025



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# INTRODUCTION

Uganda's strategic location in the Great Lakes region, combined with its stable macroeconomic environment, liberalized trade policies, and vibrant business landscape, is solidifying its reputation as a regional economic powerhouse and a prime destination for foreign direct investment.

Recent data highlights this achievement, with foreign direct investment inflows increasing significantly by 48.3%, from USD 320.25 million in the first quarter of Financial Year 2021/2022 to USD 474.87 million in the same period of Financial Year 2022/2023. This remarkable growth reflects the confidence investors have in Uganda's stable macroeconomic policies, strategic location as a logistics hub, and expanding opportunities in sectors such as oil, mining, manufacturing, agriculture, and financial services.

The Government of Uganda remains committed to fostering an investor-friendly environment, anchored on predictability, inclusivity, and transparency. Through frameworks like the Uganda Investment Authority and the Presidential Investors Round Table, as well as tax incentives tailored to key growth sectors, Uganda is paving the way for transformative investments. These incentives are integral to our national development plan, which aims to elevate Uganda to upper-middle-income status by 2040 as envisioned in Uganda Vision 2040.

Recognizing the importance of accessible information, the Uganda Revenue Authority has developed this Tax Incentives Guide to serve both current investors in Uganda and those considering investment opportunities in the country. It provides a detailed overview of the tax incentives available under both International Trade (Customs) and Domestic Taxes. Designed as a practical tool, this guide simplifies the process for investors to identify and utilize the incentives that align with their business objectives.



This publication will be updated annually to reflect evolving fiscal policies, ensuring it remains a reliable resource for investors. For further assistance, our dedicated teams led by the Assistant Commissioner of Trade (Customs Department) and the Assistant Commissioner of Business Policy (Domestic Taxes Department), are available to provide personalized support.

I am confident that this guide will be an invaluable resource for both established and prospective investors, showcasing the exceptional opportunities that Uganda offers. Together, we can advance our shared vision of a thriving and inclusive economy, driven by strategic investments and sustainable growth.

Developing Uganda Together.

**John R Musinguzi**

Commissioner General

Uganda Revenue Authority

Developing Uganda Together.

## INTRODUCTION

Tax incentives and non- tax incentives are available to both foreign and local investors. The benefit for local investors is that they can access the tax incentives with a lower minimum capital requirement. Local and foreign investors can equally access non- tax incentives like land in the industrial parks, facilitation for infrastructure needs and policy advocacy for conducive environment.

## NON-TAX INCENTIVES

| SN                                                                                                                                                                                                                                                                                                        | INCENTIVES                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| a. Securing land for industrial development;<br>b. Securing land for agricultural development (Commercial farming and value addition);<br>c. Facilitate investors to access infrastructure development in the Industrial parks;<br>d. Provide policy advocacy to investors to support investment decision | a) Acquisition of Investment license and certificate from UIA;<br>b) Meeting a minimum capital requirement for USD 50,000 for local investors;<br>c) Meeting a minimum capital requirement for USD 250,000 for foreign investors;<br>d) Investing in value adding projects<br>e) Uses at least 70% of local raw materials<br>f) Employs 70% Ugandans or East Africans consuming 70% of the total wage bill;<br>g) Invests USD 50 million in the development of Industrial Parks, relates to foreign investors<br>h) Invests USD 10 million in the development of Industrial Parks, relates to domestic investors<br>i) Invests USD 300,000 in manufacturing around Kampala, Uganda, relates to domestic investors<br>j) Invests USD 150,000 in manufacturing, in upcountry areas in Uganda, relates to domestic investors |

## TAX INCENTIVES UNDER DOMESTIC TAXES

| INCOME TAX                                                                |                                                                                                             |                                                                                                                                                                                              |                                                                                                                     |
|---------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------|
| Beneficiary                                                               | Incentives                                                                                                  | Period of Incentive                                                                                                                                                                          | Conditions for the Tax Incentive                                                                                    |
| A person who lets or leases a facility in an industrial park or free zone | Exemption from tax on income derived from letting or leasing facilities in an industrial park or free zone. | 10 years from the date of commencement of construction or in the case of an existing developer, from the date of making an additional investment equivalent to the minimum capital required. | A minimum investment capital of USD 50 million in the case of a foreigner or USD 10million in the case of a Citizen |

## INCOME TAX

| Beneficiary                                                                                                                       | Incentives                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Period of Incentive                                                                                                                                                                                                        | Conditions for the Tax Incentive                                                                                                                                                                                                                                                                                                                                                                    |
|-----------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| An Operator in an Industrial Park or free zone or any other person carrying on business outside the industrial park or free zone. | Exemption from tax on income derived from :<br>i. Processing agricultural products;<br>ii. Manufacture or assembling medical appliances, medical sundries or pharmaceuticals, building materials, automobiles, house hold appliances;<br>iii. Manufacturing furniture, pulp, paper, printing and publishing of instructional materials;<br>iv. Manufacturing chemicals for agricultural use, industrial use, textiles, glassware, leather products, industrial machinery, electrical equipment, sanitary pads and diapers;<br>v. establishing or operating vocational or technical institutes;<br>vi. Carrying out business in logistics and warehousing, information technology or commercial farming;<br>vii. Manufacture of tires, foot ware, mattresses or tooth paste;<br>viii. Manufacture of electric vehicle, electric battery or electric vehicle charging equipment or fabrication of the frame and body of an electric vehicle;<br>ix. Operates a specialised hospital facility. | 10 years - effective from the date of commencement of the specified business or in the case of an existing business, from the date the investor makes additional investment equivalent to the minimum capital requirement. | 1. A minimum investment capital of USD 10 million in the case of a foreigner or USD 300,000 in the case of a citizen or USD 150,000 for a citizen whose investment is placed upcountry;<br>2. 70% of its raw materials should be locally sourced subject to their availability; and<br>3. 70% of its employees should be citizens earning an aggregate wage of at least 70% of the total wage bill. |

## INCOME TAX

| Beneficiary                                       | Incentives                                                                                                                           | Period of Incentive                                                                                     | Conditions for the Tax Incentive                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|---------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Exporters of finished consumer and capital goods. | Exemption from tax on income derived from the exportation of finished consumer and capital goods.                                    | 10 years from the beginning of the investment or in case of an existing investment, from 1st July 2007. | <ol style="list-style-type: none"> <li>1. Export at least 80% of the production of goods</li> <li>2. Keep proper books of accounts and records of inputs for export business, export sales, export documents, goods that have been warehoused, goods that have been produced, local sales and other records as may be required by the Commissioner General.</li> <li>3. Application in the prescribed form to the Commissioner General for a certificate of entitlement to exemption.</li> </ol> |
| Collective Investment Schemes                     | Exemption from tax on income of a Collective Investment Scheme to the extent of which the income is distributed to its participants. | Indefinite                                                                                              | The income should be distributed to the participants of the Collective Investment Scheme.                                                                                                                                                                                                                                                                                                                                                                                                        |

## INCOME TAX

| Beneficiary                    | Incentives                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Period of Incentive | Conditions for the Tax Incentive                                                   |
|--------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|------------------------------------------------------------------------------------|
| Mining and petroleum operators | Special income tax deductions allowed and exemptions: Carry forward losses, 100% depreciation rate for depreciable assets acquired for mining exploration, deduction for contribution made by a licensee to a rehabilitation fund in accordance with an approved rehabilitation plan, deductions for recovery of costs for work programs, exemption of income tax on amounts withdrawn from a rehabilitation fund to meet expenditure incurred under an approved rehabilitation plan, 10% withholding tax on payments made to sub- contractors as a final tax as opposed to 15%, deduction of social infrastructure costs incurred in accordance with the mining lease. | Indefinite          | Mining and petroleum operators                                                     |
| Aircraft Operators             | Exemption from tax on income derived from operation of aircraft in domestic or international traffic or leasing of aircraft.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Indefinite          | Operation of aircraft in domestic or international traffic or leasing of aircraft. |
| Private employers              | Deduction of 2% Income tax payable                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Indefinite          | Proof that 5% of their employees on full time basis are persons with disabilities. |

## INCOME TAX

| Beneficiary                                   | Incentives                                                               | Period of Incentive | Conditions for the Tax Incentive                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
|-----------------------------------------------|--------------------------------------------------------------------------|---------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Any company, Institution or irrevocable trust | Income tax exemption                                                     | Indefinite          | <ol style="list-style-type: none"> <li>1. The company, Institution or Irrevocable trust should be –                         <ol style="list-style-type: none"> <li>a. An amateur sporting association;</li> <li>b. A religious, charitable or educational institution whose object is not for profit; or</li> <li>c. A trade union, employees' association, an association of employers registered under any law of Uganda or an association established for the purpose of promoting farming, mining, tourism, manufacturing, or commerce and industry in Uganda;</li> <li>d. A body established by law for the purpose of regulating the conduct of professionals; and</li> </ol> </li> <li>2. The company, Institution or Irrevocable trust has been issued with a written ruling the Commissioner currently in force stating that it is an exempt organization;</li> <li>3. None of the income or assets of which confers, or may confer, a private benefit on any person.</li> </ol> |
| Compliant taxpayers                           | 6% WHT exemption on payment for goods and services and professional fees | 12 months renewable | Where the Commissioner is satisfied that the taxpayer has regularly complied with the obligations under the tax laws                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |

## INCOME TAX

| Beneficiary                                                                                                                                                                             | Incentives                                                                                                                                                                                             | Period of Incentive       | Conditions for the Tax Incentive                                                                                                             |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------|----------------------------------------------------------------------------------------------------------------------------------------------|
| Investor established in a country with which Uganda has a Double Taxation Agreements (DTA) i.e. United Kingdom, Denmark, Norway, South Africa, India, Italy, Netherlands and Mauritius. | Reduced withholding tax rates applicable on payments of dividends, interests, management fees and royalties. The current applicable WHT rates under these DTAs is 10% except UK where the rate is 15%. | Duration of the DTA       | Beneficial owner of investment as defined in the Income Tax Act established with economic substance in a country with which Uganda has a DTA |
| Foreign transporters                                                                                                                                                                    | Exemption from tax on income derived from transportation of passengers or goods or mail embarked outside Uganda                                                                                        | Indefinite                | Transportation of passengers or goods or mail must have embarked outside Uganda                                                              |
| Financial Institution, Micro-finance deposit-taking institutions and tier 4 micro-finance institutions or a person carrying on insurance business                                       | No capping on the amount of deductible interest in respect of all debts owed.                                                                                                                          | During the year of income | Debt obligation must have been incurred in the production of income included in gross income                                                 |
| Investors in private equity or venture capital fund AND private equity or venture capital fund                                                                                          | Exemption from tax on income derived from or by a private equity or venture capital fund.                                                                                                              | Indefinite                | The private equity or venture capital fund must be regulated under the Capital Markets Authority Act, Cap.84                                 |
| Investors in government securities                                                                                                                                                      | Exemption of income derived from the disposal of government securities on the secondary market.                                                                                                        | Indefinite                | Disposal of Government securities on the secondary market.                                                                                   |
| Savings and Credit Cooperative Society(SACCO)                                                                                                                                           | Exemption of income of a SACCO                                                                                                                                                                         | Up to 30th June 2027      | SACCOs only.                                                                                                                                 |

## INCOME TAX

| Beneficiary                                                                 | Incentives                                                                  | Period of Incentive | Conditions for the Tax Incentive                                                                                   |
|-----------------------------------------------------------------------------|-----------------------------------------------------------------------------|---------------------|--------------------------------------------------------------------------------------------------------------------|
| Companies which came into existence through stock exchange                  | Income tax exemption on dividends                                           | Indefinite          | Company must have come into existence through stock exchange.                                                      |
| Recipient of the proceeds of a life insurance policy                        | Exemption from tax on the proceeds                                          | Indefinite          | 1. The proceeds should be of a life insurance policy;<br>2. Paid by a person carrying on a life insurance business |
| Deposit Protection Fund                                                     | Exemption from tax on income                                                | Indefinite          | Deposit Protection Fund should have been established under section 108 of the Financial Institutions Act, 2016     |
| Investor Compensation Fund                                                  | Exemption from tax on income                                                | Indefinite          | Investor Compensation Fund must have been established under Section 81 of the Capital Markets Authority Act        |
| A member of resident retirement fund or a dependant of a member of the fund | Exemption from tax on a lump sum payment made by a resident retirement fund | Indefinite          | 1. A lump sum payment;<br>2. Made by a resident retirement fund                                                    |
| Agricultural supplies                                                       | Exemption from 6% withholding tax                                           | Indefinite          | Agricultural supplies not subject to withholding tax                                                               |

## VAT

| Beneficiary                                                                                                                    | Incentives                                                                                                                                                                                                                                | Period of Incentive         | Conditions for the Tax incentive                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|--------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Developer of an industrial park or free zone                                                                                   | VAT exemption on any payment for;<br>i. Feasibility studies, design and construction services;<br>ii. Construction materials;<br>iii. Earth moving equipment and machinery                                                                | Duration of the development | The investment must be at least USD 50m. The supply must be for the development of an industrial park or free zone.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| Operator in an Industrial Park or free zone or any other person carrying on business outside the industrial park or free zone. | VAT exemption on the supply of;<br>i. Feasibility study and design services<br>ii. Locally produced materials for the construction of a factory or warehouse<br>iii. Locally produced raw materials and inputs or machinery or equipment. | Indefinite                  | The supply must be to an operator within an industrial park, free zone or any other person carrying on business outside the industrial park or free zone, undertaking any of the listed business activities in the industrial Park or free zone or outside the industrial park or free zone:<br>i. Processing agricultural products;<br>ii. Manufacturing or assembling medical appliances, medical sundries or pharmaceuticals, building materials, automobiles and house hold appliances;<br>iii. Manufacturing furniture, pulp, paper, printing and publishing of instructional materials;<br>iv. Manufacturing chemicals for agricultural use, industrial use, textiles, glassware, leather products, industrial machinery, electrical equipment, sanitary pads and diapers; |

## VAT

| Beneficiary | Incentives | Period of Incentive | Conditions for the Tax incentive                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|-------------|------------|---------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|             |            |                     | <p>v. Establishing or operating vocational or technical institutes;</p> <p>vi. Carrying out business in logistics and warehousing, information technology or commercial farming; or</p> <p>vii. manufactures of tires, foot ware, mattresses or tooth paste;</p> <p>viii. Manufacture of electric vehicles, electric batteries or electric vehicle charging equipment or fabricates the frame and body of an electric vehicle. The investor Must invest a minimum of USD 10m for foreign investors and USD 300,000 for citizens or USD 150,000 where the investment is made upcountry by a citizen. The investor must use at least 70% of locally sourced raw materials, subject to their availability, and employ at least 70% citizens who must earn an aggregate wage of at least 70% of the total wage bill.</p> |

## VAT

| Beneficiary                                                                 | Incentives                                                                                                                                                                                                                                                                  | Period of Incentive         | Conditions for the Tax incentive                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|-----------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| The supply of services to a manufacturer other than the manufacturer above. | VAT exemption on the supply of a feasibility study or to undertake design and construction                                                                                                                                                                                  | Indefinite                  | Must invest a minimum of USD 30m for foreign investors and USD 5 m for a local investor. In case of any other manufacturer, from the date on which the manufacturer makes an additional investment equivalent to USD 30 m for a foreign investor or USD 5 m for a local investor.<br>The investor must use at least 70% of locally sourced raw materials subject to their availability, capacity to employ at least 70% citizens who must take up at least 70% of the total wage bill. |
| Developer of a hotel or tourism facility                                    | VAT exemption on the supply of feasibility study, design and construction services; the supply of locally produced materials for construction of premises, infrastructure, machinery and equipment or furnishings and fittings which are not available on the local market. | Duration of the development | The hotel developer must invest at least USD 8 million.<br>The hotel or tourism facility must have a room capacity exceeding 100 guests.                                                                                                                                                                                                                                                                                                                                               |

## VAT

| Beneficiary                      | Incentives                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Period of Incentive         | Conditions for the Tax incentive                         |
|----------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------|----------------------------------------------------------|
| Developer of a hospital facility | VAT exemption on the supply of feasibility study, design and construction services; the supply of locally produced materials for construction of premises, infrastructure, machinery and equipment or furnishings and fittings                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Duration of the development | The developer should have invested at least USD 5million |
| Agriculture industry             | <p>VAT exemption on the following supplies;</p> <ul style="list-style-type: none"> <li>• Animal feeds</li> <li>• Mixed components such as eggshells, feed additives, wheat bran, maize bran, concentrates, seed cake, and premixes.</li> <li>• Crop extension services, irrigation works and sprinklers,</li> <li>• Machinery, tools and implements suitable for use only in agriculture</li> <li>• Agricultural insurance premium or policy</li> <li>• Livestock, unprocessed foodstuffs and unprocessed agricultural products except wheat grain</li> <li>• Veterinary goods and services</li> <li>• Royalties paid in respect of agricultural technologies</li> <li>• Processed milk</li> </ul> <p>The supply of seeds, fertilizers, pesticides and hoes is zero rated</p> | Indefinite                  | Taxpayers in agricultural sector.                        |

## VAT

| Beneficiary                       | Incentives                                                                                                                                                                                                                                                                                                     | Period of Incentive     | Conditions for the Tax incentive                                                                                                               |
|-----------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------|------------------------------------------------------------------------------------------------------------------------------------------------|
| Aviation industry                 | <ul style="list-style-type: none"> <li>• Zero rate of VAT on the supply of leased aircraft, aircraft engines, spare parts for aircraft, aircraft maintenance equipment and repair services;</li> <li>• VAT exemption on the supply of airport user services charged by the Civil Aviation Authority</li> </ul> | Indefinite              | Taxpayers in the aviation industry                                                                                                             |
| Manufactures of electric vehicles | VAT exemption on the supply of; <ul style="list-style-type: none"> <li>• electric vehicles locally manufactured or frame and body of an electric vehicle locally fabricated;</li> <li>• electric vehicle charging equipment or supply of charging services of an electric vehicle</li> </ul>                   | Indefinite              | Exempt electric vehicles must be locally manufactured;<br><br>Exempt frame and body must be of an electric vehicle locally fabricated          |
| VAT Registered taxpayers          | VAT registered persons claim all the VAT incurred on taxable supplies made to the person whose supply or import is for use in the business of the taxable person.                                                                                                                                              | Indefinite              | Turnover of UGX 150m in any 12-month period for first time registration, ability to keep proper books of accounts and making taxable supplies. |
| Commercial farmers                | VAT registration and claim of input VAT incurred on taxable supplies made to the commercial farmer                                                                                                                                                                                                             | Duration of the project | Must be engaged in commercial farming                                                                                                          |

## VAT

| Beneficiary                                                       | Incentives                                                                                                                                                                                                                                                                        | Period of Incentive                                                                                                                                                             | Conditions for the Tax incentive                                                                                                                                                                                                                                                                                                                 |
|-------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Importers of plant and machinery                                  | VAT deferment at importation                                                                                                                                                                                                                                                      | <p>Fifteen days after the tax period for a person making taxable supplies;</p> <p>One year from commencement of the deferments for a person not yet making taxable supplies</p> | <p>The imported plant and machinery must be for use in the manufacture of goods or provision of value-added services;</p> <p>The importer must be registered for VAT;</p> <p>The plant and machinery must be for use in the business of the applicant;</p> <p>The tax due and for which the deferment is sought should be at least USD 4,000</p> |
| Contractors to licensees undertaking mining/ petroleum operations | Deemed VAT: Tax payable on supply by a contractor to a licensee undertaking mining or petroleum operations is deemed to have been paid by the licensee to the contractor provided the supply is for use by the licensee solely and exclusively for mining or petroleum operations | Duration of the investment                                                                                                                                                      | Contractors to licensees undertaking mining/ petroleum operations                                                                                                                                                                                                                                                                                |
| Contractors executing aid-funded projects                         | Deemed VAT: Tax payable on a tax able supply made by a supplier to a contractor executing an aid- funded project is deemed to have been paid by the contractor provided the supply is for use by the contractor solely and exclusively for the aid funded project.                | Duration of the project                                                                                                                                                         | Contractors executing aid- funded projects                                                                                                                                                                                                                                                                                                       |

## VAT

| Beneficiary                                                                         | Incentives                                                                                                                                                                                                                                                                                                                                                                                                                      | Period of Incentive | Conditions for the Tax incentive                                                                                                                                                                                                                                  |
|-------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Contractor or licensee or a person providing business process outsourcing services. | Input tax credit on imported services.                                                                                                                                                                                                                                                                                                                                                                                          | Indefinite          | Persons providing services to the licensees in mining operations or licensees in petroleum operations. Persons granted mining rights or with whom the Government has entered into a petroleum agreement. Persons providing business process outsourcing services. |
| Importers of medicines                                                              | VAT exemption of drugs, medicines and medical sundries at importation                                                                                                                                                                                                                                                                                                                                                           | Indefinite          | Imported                                                                                                                                                                                                                                                          |
| Energy industry                                                                     | VAT exemption on supply of; <ul style="list-style-type: none"> <li>• Goods and services to contractors and subcontractors of hydroelectric power, solar power, geothermal power, or bio gas and wind energy projects ;</li> <li>• Deep cycle batteries, composite lanterns and raw materials for the manufacture of deep cycle batteries and composite lanterns;</li> <li>• Liquefied gas and denatured fuel ethanol</li> </ul> | Indefinite          | Does not include goods and services used for personal and domestic use                                                                                                                                                                                            |
| Manufacturers of medicines                                                          | The supply of drugs, medicines and medical sundries manufactured in Uganda are zero-rated                                                                                                                                                                                                                                                                                                                                       | Indefinite          | Manufactured in Uganda                                                                                                                                                                                                                                            |

## VAT

| Beneficiary                                 | Incentives                                                                                                                                                                                                                     | Period of Incentive | Conditions for the Tax incentive                                                                                                                                                                      |
|---------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Exporters                                   | Zero rating on goods or services exported from Uganda                                                                                                                                                                          | Indefinite          | Goods and services must be exported from Uganda                                                                                                                                                       |
| Suppliers to government                     | Cash basis accounting for VAT on supplies made to government                                                                                                                                                                   | Indefinite          | VAT registered suppliers                                                                                                                                                                              |
| Health sector                               | Exempting the supply of oxygen for medical use.                                                                                                                                                                                | Indefinite          | Oxygen for medical use                                                                                                                                                                                |
| Persons with disability(PWDs)               | Exempting the supply of assistive devices for persons with disability.                                                                                                                                                         | Indefinite          | Assistive devices must be for use by persons with disability                                                                                                                                          |
| Aircraft operators                          | Exempting airport user service charges.                                                                                                                                                                                        | Indefinite          | For services charged by the Civil Aviation Authority                                                                                                                                                  |
| Suppliers of educational materials          | Zero rating of supply of educational materials.                                                                                                                                                                                |                     | Includes educational materials manufactured in Uganda and the partner states of the EAC                                                                                                               |
| Supply of billets                           | VAT exemption                                                                                                                                                                                                                  | Indefinite          | Supply of billets for further value addition in Uganda.                                                                                                                                               |
| Entertainment industry                      | VAT exemption on movie production                                                                                                                                                                                              | Indefinite          | Movie producers                                                                                                                                                                                       |
| Technical or vocational institute operators | VAT exemption on the supply of feasibility study, design and construction services; the supply of locally produced materials for construction of premises, infrastructure, machinery and equipment or furnishings or fittings. | Indefinite          | The supply must be made to a technical or vocational institute operators.<br>The operator's investment capital must be at least USD 10 million in case of a foreigner and USD 1 million for a citizen |

## VAT

| Beneficiary                                                  | Incentives                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Period of Incentive | Conditions for the Tax incentive                                                          |
|--------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|-------------------------------------------------------------------------------------------|
| Textile manufacturers                                        | <p>VAT exemption on the supply of;</p> <ul style="list-style-type: none"> <li>Wet processing operations and garmenting, cotton lint, artificial fibres for blending, polyester staple fibre, vicrose rayon fibre yam other than cotton yam, textile dyes and chemicals garment accessories, textile machinery spare parts, industrial consumables for textile production and textile manufacturing machinery and equipment;</li> <li>Fabrics and garments made in Uganda by vertically integrated textile mills that operate spinning, weaving or knitting, wet processing operations and garmenting</li> <li>Sewing machines</li> </ul> | Indefinite          | The supply must be for textile production, textile manufacturing machinery and equipment. |
| Real estate developers                                       | VAT exemption on the supply of unimproved land                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Indefinite          | Unimproved land                                                                           |
| Manufacturers of sanitary towels, menstrual cups and tampons | The supply of sanitary towels, menstrual cups, tampons and inputs for their manufacture is zero rated                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Indefinite          | Manufacturers of sanitary towels, menstrual cups and tampons                              |

## STAMP DUTY ACT

| Beneficiary                                                                                                                                                                                                                                                                                                                                                                                                                           | Incentives                                                                                                                                                                                                                               | Period of Incentive     | Conditions for the Tax Incentive                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1. Developer of an industrial park or free zone                                                                                                                                                                                                                                                                                                                                                                                       | Nil Stamp duty on debentures, further charge, lease of land-of the total value, Increase of share capital, transfer of land, an agreement to provide services on conducting a feasibility study or developing a design for construction. | Duration of development | Must invest a minimum of USD 50m and incentive takes effect from the date of commencement of construction; the instrument must be executed by, or on behalf of a company or Government; Instrument is executed for the sole purpose of implementing the strategic investment project                                                                                                                                                                                                                                                |
| Operator within an industrial park or free zone or an operator of a single factory or other business outside the industrial park who invests in agro processing, food processing, medical appliances, building materials, light industry, automobile manufacturing and assembly, household appliances, furniture, logistics and warehousing, information technology or commercial farming, tyres, footwear, mattresses or toothpaste. | No Stamp duty on debentures, further charge, lease of land-of the total value, Increase of share capital, transfer of land.                                                                                                              | Duration of activity    | <p>Must invest a minimum of USD 10m for foreign investors and USD 300,000 for citizens or USD 150,000 where the investment is made upcountry by a citizen.</p> <p>Incentive takes effect from the date of commencement of the specified business, same incentives applies to an existing operator in an Industrial Park or Free Zone.</p> <p>The investor must use at least 80% of locally sourced raw materials subject to availability and employ at least 80% citizens who must take up at least 80% of the total wage bill.</p> |

## STAMP DUTY ACT

| Beneficiary                                             | Incentives                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Period of Incentive                                                                                                                   | Conditions for the Tax Incentive                                                                                                                                                                                                                                                                                                                |
|---------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Manufacturers, other than manufactures mentioned above. | Nil stamp duty on execution of the following documents;<br>i) debenture; whether a mortgage debenture or not, being of a marketable security – of total value;<br>ii) further charge; any instrument imposing a further charge on a mortgaged property – of total value;<br>iii) lease of land – of total value;<br>iv) increase of share capital;<br>v) transfer of land;<br>vi) an agreement to provide services on conducting a feasibility study or developing a design for construction | Duration of development.<br><br>For an existing manufacturer, from the date on which the manufacturer makes an additional investment. | Minimum investment capital of USD 35m.<br>The investor must use at least 70% of locally sourced raw materials subject to their availability, capacity to employ at least 70% citizens who must take up at least 70% of the total wage bill.<br>This also applies to an existing manufacturer making an additional investment of the same value. |
| Hotel or tourism developer                              | Nil Stamp Duty on debenture, further charge, lease of land, increase of share capital, transfer of land and agreement to provide services on conducting a feasibility study or developing a design for construction.                                                                                                                                                                                                                                                                         | Duration of the development                                                                                                           | Must invest at least USD 8m.<br>Hotel or tourism facility should have room capacity exceeding one hundred guests                                                                                                                                                                                                                                |
| Hospital facility developer                             | Nil Stamp Duty on debenture, further charge, lease of land, increase of share capital, transfer of land and agreement to provide services on conducting a feasibility study or developing a design for construction.                                                                                                                                                                                                                                                                         | Duration of the development                                                                                                           | a. Must invest at least USD 5m.<br>b. Develops Hospital with capacity to provide specialized medical care                                                                                                                                                                                                                                       |

## STAMP DUTY ACT

| Beneficiary                                 | Incentives                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Period of Incentive | Conditions for the Tax Incentive                                                                  |
|---------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|---------------------------------------------------------------------------------------------------|
| Technical or vocational institute operators | Nil Stamp Duty on debenture, further charge, lease of land, increase of share capital, transfer of land and agreement to provide services on                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Indefinite          | Must invest at least USD 10m in case of a foreigner or 1m USD in case of a citizen.               |
| Agriculture                                 | NIL stamp duty on agricultural insurance policies                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Indefinite          | Agricultural insurance policies                                                                   |
| Private equity or venture capital fund      | <p>Nil capital duty on;</p> <ul style="list-style-type: none"> <li>Nominal share capital or any increase of it on shares acquired by investors in a private equity or venture capital fund regulated under the Capital Markets Authority Act or shares acquired by a private equity or venture capital fund regulated under the Capital Markets Authority Act.</li> <li>Capital duty on nominal share capital or any increase of share, acquired by an investor in a private equity or venture capital fund or by a private equity or venture capital fund regulated under the Capital Markets Authority Act.</li> <li>Transfer of shares or other securities to or by an investor in a private equity or venture capital fund regulated under the Capital Markets Authority Act</li> </ul> | Indefinite          | Private equity or venture capital fund regulated under the Capital Markets Authority Act, Cap. 84 |

## STAMP DUTY ACT

| Beneficiary                                                                                                                                            | Incentives                                                                                               | Period of Incentive | Conditions for the Tax Incentive                                                                                                                                                                                                                                                                                                                                        |
|--------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------|---------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Manufacturer of electric vehicles, electric batteries, electric vehicle charging equipment, or fabricator of the frame and body of electric vehicles,. | Nil Stamp Duty on debenture, further charge, lease of land, increase of share capital, transfer of land. | Indefinite          | <p>Minimum capital investment of USD 10 million for foreigners, USD 300,000 for citizens, or USD 150,000 in the case of a citizen who invests up-country.</p> <p>Capacity to use at least 80% of the locally produced raw materials, subject to availability.</p> <p>Capacity to employ at least 80% citizens who must take up at least 80% of the total wage bill.</p> |

## EXCISE DUTY ACT

| Beneficiary                              | Incentives                                                                                          | Period of Incentive     | Tax incentive                                                                                                                                            |
|------------------------------------------|-----------------------------------------------------------------------------------------------------|-------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------|
| Aviation industry                        | Nil duty on imported Jet A1 and aviation fuel                                                       | Indefinite              | Should be imported by registered airlines, companies with designated storage facilities or with contracts to supply airlines                             |
| Energy industry                          | Nil duty on gas oil for power generation to national grid                                           | Indefinite              | Gas oil must be for power generation to the national grid                                                                                                |
| Industrial parks or free zones developer | Nil duty on construction materials for development of industrial parks or free zones by a developer | Duration of development | Must invest a minimum of USD 50m for foreign investors & USD 10m for citizens. The incentive takes effect from the date of commencement of construction. |

## EXCISE DUTY ACT

| Beneficiary                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Incentives                                                                                                                                                | Period of Incentive         | Tax incentive                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Operator within the industrial park, free zone or other business outside the industrial park or free zone who invests in processing agricultural goods; manufactures or assembles medical appliances, medical sundries or pharmaceuticals, building materials, automobiles, household appliances or manufactures furniture, pulp, paper, printing and publishing of instructional materials; carries on business in logistics and warehousing, information technology or commercial farming, tires, footwear, mattresses or toothpaste. | Nil duty on construction materials of a factory or warehouse exclusive of those available on the local market, locally produced raw materials and inputs. | Duration of the development | <p>Must invest a minimum of USD 10m for foreign investors and USD 300,000 for citizens or USD 150,000 where the investment is made upcountry.</p> <p>Incentive takes effect from the date of commencement of the specified business, same incentives applies to an existing operator in an Industrial Park or Free Zone who</p> <p>The investor must use at least 70% of locally sourced raw materials subject to availability and employ at least 70% citizens who must take up at least 70% of the total wage bill.</p> |
| Manufacturers other than manufacturers mentioned above.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Nil excise duty on construction materials                                                                                                                 | Duration of development     | <p>Must invest a minimum of USD 50m.</p> <p>This also applies to any other manufacturer making an additional investment of the same value.</p>                                                                                                                                                                                                                                                                                                                                                                            |
| Hotel or tourism developer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Nil duty on locally produced materials for construction of premises and other infrastructure                                                              | Duration of the development | <p>Minimum investment capital of USD 8m.</p> <p>Room capacity exceeding 100 guests</p>                                                                                                                                                                                                                                                                                                                                                                                                                                    |

| EXCISE DUTY ACT                                                                                                                                         |                                                                                                                                                    |                              |                                                                                                             |
|---------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------|-------------------------------------------------------------------------------------------------------------|
| Beneficiary                                                                                                                                             | Incentives                                                                                                                                         | Period of Incentive          | Tax incentive                                                                                               |
| Hospital facility developer                                                                                                                             | Nil duty on furnishings and fittings or locally produced materials for construction of premises and other infrastructure                           | Duration of the development  | Minimum investment capital of USD 5m. Develops a hospital with capacity to provide specialized medical care |
| Technical or vocational institute operators                                                                                                             | Nil duty on construction materials for the construction of premises and other infrastructure, machinery and equipment or furnishings and fittings. | Duration of the development  | Minimum investment capital of USD 10m in case of a foreigner and USD 1m for citizens.                       |
| Manufacturers of electric vehicles, electric batteries or electric vehicle charging equipment or fabricators of frames and bodies of electric vehicles. | Nil duty on construction materials                                                                                                                 | Duration of the development. | Minimum investment capital of USD 35m in the case of a foreigner, or USD 5m in the case of a citizen.       |

**NOTE:** In addition to the above-mentioned incentives, taxpayers are allowed deductions as long as they meet the conditions as provided under the Income Tax Act. These include expenses for earning income, meals and entertainment, bad debts, interest, repairs, minor capital equipment, depreciation of assets, depreciation of industrial buildings, start-up costs, costs of intangible assets such as trademarks, scientific research expenditure, training expenditure, local service tax, charitable donations, expenditure for farm works such as labour quarters, and carry-forward losses. For details on eligibility, please refer to the Income Tax Act.

## INTERNATIONAL TRADE INCENTIVES

**Remission:** For this purpose, it is a reduction of duty on inputs and raw materials imported for manufacturing goods into a partner state. This is premised under S140 of the **EACCMA**, 2004 which provides that the council of ministers may grant a remission of duty on inputs for the manufacture of goods in a partner state.

**Stay:** This is a tariff adjustment scheme that allows EAC partner states to depart from the **CET** rates and implement a tariff rate lower/higher for a period of one year but renewable.

**Exemption:** It is where duty is not charged on imported goods as premised under S114 of the **EACCMA**. These are listed in Part A and B of the 5th schedule of the **EACCMA**.

| AGRICULTURE SECTOR                                                                                                                                                      |                                                                                                                                  |                                                                                                                                                                                                                                                                                |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Item                                                                                                                                                                    | Description                                                                                                                      | Tax incentive                                                                                                                                                                                                                                                                  |
|                                                                                        | <p>Hoes</p> <p>A hoe is a long-handled gardening tool with a thin metal blade, used mainly for weeding and breaking up soil.</p> | <ul style="list-style-type: none"> <li>VAT Exempted when imported by dealers under the VAT Act.</li> <li>Exempted from all taxes when imported by persons engaged in agriculture under the 5th Schedule of the East African Community Customs Management Act, 2004.</li> </ul> |
|   | <p>Ploughs, Harrows, seeders, planters and transplanters, manure spreaders and fertilizer distributors</p>                       | <ul style="list-style-type: none"> <li>VAT Exempted when imported by dealers under the VAT Act.</li> <li>Exempted from all taxes when imported by persons engaged in agriculture under the 5th Schedule of the East African Community Customs Management Act, 2004.</li> </ul> |

## AGRICULTURE SECTOR

| Item                                                                                                                                                                   | Description                                                                                                                                                                                                                                               | Tax incentive                                                                                                                                                                                                                                                                  |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                                       | <p>Fertilizers</p> <p>A fertilizer is any material of natural or synthetic origin (other than liming materials) that is applied to soils or to plant tissues (usually leaves) to supply one or more plant nutrients essential to the growth of plants</p> | <ul style="list-style-type: none"> <li>Exempted from all taxes under the 5th Schedule of the East African Community Customs Management Act, 2004 upon approval by the Ministry of Agriculture, Animal Industry and Fisheries.</li> </ul>                                       |
|                                                                                       | Refrigerated Trucks                                                                                                                                                                                                                                       | <ul style="list-style-type: none"> <li>Exempted from all taxes under the fifth schedule of the East African Community Customs Management Act, 2004.</li> </ul>                                                                                                                 |
|   | <p>Agricultural chemicals (fungicides and pesticides)</p> <p>Veterinary Chemicals (Acaricides)</p>                                                                                                                                                        | <ul style="list-style-type: none"> <li>VAT Exempted when imported by dealers under the VAT Act.</li> <li>Exempted from all taxes when imported by persons engaged in agriculture under the 5th Schedule of the East African Community Customs Management Act, 2004.</li> </ul> |
|                                                                                     | Agricultural Tractors                                                                                                                                                                                                                                     | <ul style="list-style-type: none"> <li>VAT Exempted when imported by dealers under the VAT Act.</li> <li>Exempted from all taxes when imported by persons engaged in agriculture under the 5th Schedule of the East African Community Customs Management Act, 2004.</li> </ul> |

## AGRICULTURE SECTOR

| Item                                                                                | Description                                                                                                                                                                                                                                                                                                          | Tax incentive                                                                                                                                                                                                                                           |
|-------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | Aluminum Cans for the dairy industry                                                                                                                                                                                                                                                                                 | <ul style="list-style-type: none"> <li>Exempted from all taxes under the fifth schedule of the East African Community Customs Management Act, 2004.</li> </ul>                                                                                          |
|   | Imported inputs and implements by persons engaged in horticulture, agriculture or floriculture and aquaculture sector e.g. hatching eggs, day old chicks, semen, fish eggs, Fry/ fingerling (young fish), green houses/ materials used in construction of green houses, flower cuttings, incubators, hatcheries etc. | <ul style="list-style-type: none"> <li>Exempted from all taxes when imported by persons engaged in horticulture, agriculture, aquaculture or floriculture under the 5th Schedule of the East African Community Customs Management Act, 2004.</li> </ul> |
|  | <p>Cold Rooms</p> <p>A cold room in which a low temperature is maintained (as for refrigeration)</p>                                                                                                                                                                                                                 | <ul style="list-style-type: none"> <li>Import Duty is 0% in accordance with the EAC CET. Helps on post-harvest management and cold chain storage of agricultural products such beef, chicken, fish etc</li> </ul>                                       |

## AGRICULTURE SECTOR

| Item                                                                                | Description                                                                                                                                                                                                                                                                                             | Tax incentive                                                                                                                                                                                                                                                                  |
|-------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | <p>Poultry parent stock imported by persons engaged in poultry farming. A broiler and layer breeder farms raise parent stock which produce fertilized eggs.</p> <p>A broiler/layer hatching egg is never sold in shops and is not meant for human consumption but for hatching into day old chicks.</p> | <ul style="list-style-type: none"> <li>VAT Exempted when imported by dealers under the VAT Act.</li> <li>Exempted from all taxes when imported by persons engaged in agriculture under the 5th Schedule of the East African Community Customs Management Act, 2004.</li> </ul> |
|   | <p>Seeds for sowing, spores and cut plants A seed is an embryonic plant enclosed in a protective outer covering.</p>                                                                                                                                                                                    | <ul style="list-style-type: none"> <li>Exempted from all taxes under fifth schedule of the East African Community Customs Management Act, 2004 upon approval by Ministry of Agriculture Animal Industry and Fisheries.</li> </ul>                                              |
|  | <p>Breeding animals</p> <p>Breeding stock is a group of animals used for the purpose of planned breeding.</p>                                                                                                                                                                                           | <ul style="list-style-type: none"> <li>VAT Exempted when imported by dealers under the VAT Act. Exempted from all taxes when imported by persons engaged in agriculture under the 5th Schedule of the East African Community Customs Management Act, 2004.</li> </ul>          |
|  | <p>Preparations for cleaning Dairy apparatus</p> <p>Example PFANZITE POWDER DAIRY DETERGENT. Pfanzone is a highly chlorinated, powdered manual cleaner designed especially for cleaning bulk tanks, the Surge bucket milker and utensils.</p>                                                           | <ul style="list-style-type: none"> <li>Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004.</li> </ul>                                                                                                                   |

## AGRICULTURE SECTOR

| Item                                                                                | Description                                                                                                                                                                                                                                                                                    | Tax incentive                                                                                                                                                                                                                                                         |
|-------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | Fish, Crustaceans and Molluscs, fresh (dead or live) chilled or frozen caught and landed by canoes or vessels registered and based in a Partner State                                                                                                                                          | <ul style="list-style-type: none"> <li>Exempted from all taxes under the fifth schedule of the East African Community Customs Management Act, 2004.</li> </ul>                                                                                                        |
|    | <p>Feeds for Poultry and Livestock Poultry</p> <p>Feed is food for farm poultry, including chickens, ducks, geese and other domestic birds. Modern feeds for poultry consist largely of grain, protein supplements such as soybean oil, meal, mineral supplements, and vitamin supplements</p> | <ul style="list-style-type: none"> <li>VAT Exempted when imported by dealers under the VAT Act. Exempted from all taxes when imported by persons engaged in agriculture under the 5th Schedule of the East African Community Customs Management Act, 2004.</li> </ul> |
|  | Machinery for processing dairy products                                                                                                                                                                                                                                                        | <ul style="list-style-type: none"> <li>VAT Exempted when imported by dealers under the VAT Act. Import duty is 0%, under East African Community Common External Tariff VAT Exempted.</li> </ul>                                                                       |
|  | Packing material of any kind designed for packaging goods for export                                                                                                                                                                                                                           | <ul style="list-style-type: none"> <li>Exempted from all taxes when imported with an intention of packaging goods meant for export.</li> </ul>                                                                                                                        |

## AGRICULTURE SECTOR

| Item                                                                              | Description                                                            | Tax incentive                                                                                                                                                                                                                                                        |
|-----------------------------------------------------------------------------------|------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|  | The supply of irrigation works, sprinklers and ready to use drip lines | <ul style="list-style-type: none"> <li>VAT Exempted when imported by dealers under the VAT ACT. Exempted from all taxes when imported by persons engaged in agriculture under the 5th schedule of the East African Community Customs Management Act, 2004</li> </ul> |

## MANUFACTURING SECTOR

| Item                                                                                | Description                                                                           | Tax incentive                                                                                                                                                                                                                                                      |
|-------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | Raw materials used in the production of goods meant for export.                       | <ul style="list-style-type: none"> <li>Duty drawback: Customs refunds all or part of any import duty paid on material inputs imported to produce goods for export or used in a manner for a purpose prescribed as condition for granting duty drawback.</li> </ul> |
|  | Plant, machinery, equipment and raw materials used in production of goods for export. | <ul style="list-style-type: none"> <li>Manufacturing under bond: This facility is extended to manufacturers to import plant, machinery, equipment and raw materials tax free, for exclusive use in the manufacture of goods for export.</li> </ul>                 |
|  | Preparations of a kind used as cores or coatings for welding electrodes.              | <ul style="list-style-type: none"> <li>Remission of duty from 10% to 0% for one year for manufacturers of welding electrodes</li> </ul>                                                                                                                            |

## MANUFACTURING SECTOR

| Item                                                                                | Description                                                                                                                                                                                                                      | Tax incentive                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|-------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | Vegetable fats and oils and their fractions/<br>Cocoa butter substitute<br>Other/coconut oil<br>refined Malt extract/<br>Barley malt extract<br>powder Homogenized<br>preparations/Nut paste/<br>Nut butter Other/Fruit<br>puree | <ul style="list-style-type: none"> <li>• Remission of duty from 35% to 25% on vegetable fats and oils and their fractions/ cocoa butter substitute, homogenized preparations/ nut paste/nut butter and other/fruit puree for manufacturers of chocolates for one year.</li> <li>• Remission of duty from 10% to 0% on other/coconut oil, refined malt extract/ barley malt extract powder for manufacturers of chocolates for one year.</li> </ul> |
|   | Aluminium foil – jumbo roll<br>-- Rolled but not further<br>worked                                                                                                                                                               | <ul style="list-style-type: none"> <li>• Remission of duty from 10% to 0% for one year for the manufacturers of aluminium foil packs for one year.</li> </ul>                                                                                                                                                                                                                                                                                      |
|  | Duster pad material non-<br>woven fabric Incomplete<br>Dusters                                                                                                                                                                   | <ul style="list-style-type: none"> <li>• Remission of duty from 10% to 0% on inputs for the manufacture of school dusters for one year.</li> </ul>                                                                                                                                                                                                                                                                                                 |
|  | Elbows, Equal tee,<br>Reducing tee, End cap,<br>Unions, Flanges adapter,<br>Blind cap, Over bridge bow,<br>Transitional piece, Valves,<br>Coupling, Sockets                                                                      | <ul style="list-style-type: none"> <li>• Remission of duty to 10% on raw materials and inputs for the manufacturers of specialized PPR pipes for one year.</li> </ul>                                                                                                                                                                                                                                                                              |

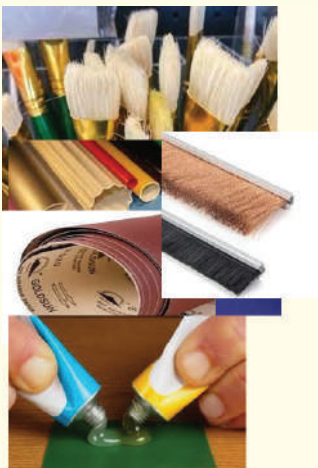
## MANUFACTURING SECTOR

| Item                                                                                | Description                                                                                | Tax incentive                                                                                                                                                                                                                                                                                                       |
|-------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | Pouch Thermoforms Mesh / Substrate Films                                                   | <ul style="list-style-type: none"> <li>Remission of duty to 0% on inputs for the manufacture of mosquito repellents.</li> </ul>                                                                                                                                                                                     |
|    | Preparations of a kind used in manufacturing of beverages and food                         | <ul style="list-style-type: none"> <li>Remission of duty to 10% on inputs for the manufacture of foods and beverages.</li> </ul>                                                                                                                                                                                    |
|   | Organic surface-active agents                                                              | <ul style="list-style-type: none"> <li>Remission of duty from 25% to 10% for one year for manufacturers of industrial tube mill coolant, textile and garments, foot wear</li> </ul>                                                                                                                                 |
|  | Clear primer                                                                               | <ul style="list-style-type: none"> <li>Remission of duty from 10% to 0% for the manufacturers of pre-painted coils and sheets for one year</li> </ul>                                                                                                                                                               |
|  | Top coat colour primer (paint for iron sheets)                                             | <ul style="list-style-type: none"> <li>Remission of duty from 35% to 0% for the manufacturers of pre-painted coils and sheets for one year.</li> </ul>                                                                                                                                                              |
|  | Erasers of rubber/pencil rubber tip -- Other (Other articles of aluminium)/ Pencil ferrule | <ul style="list-style-type: none"> <li>Remission of duty from 10% to 0% on erasers/rubber/pencil rubber tip for manufacturers of school pencils for one year.</li> <li>Remission of duty from 25% to 0% on other articles of aluminium /pencil ferrule for manufacturers of school pencils for one year.</li> </ul> |

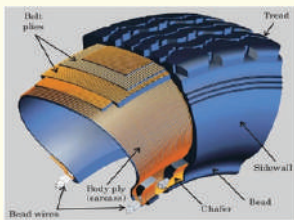
## MANUFACTURING SECTOR

| Item                                                                                                                                                                                                                                                        | Description                                                                                                                               | Tax incentive                                                                                                                                                                                                                                                                                                                                                                             |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                                                                                                                            | -- Of aluminium, not alloyed (aluminium coils)                                                                                            | <ul style="list-style-type: none"> <li>Remission of duty from 10% to 0% to manufacturers of kitchenware for one year.</li> </ul>                                                                                                                                                                                                                                                          |
|                                                                                                                                                                            | Petroleum Base Oils                                                                                                                       | <ul style="list-style-type: none"> <li>Remission of duty at 0% to manufacturers of lubricants</li> </ul>                                                                                                                                                                                                                                                                                  |
|                                                                                                                                                                            | -Other polymers in primary forms--Other Printing ink                                                                                      | <ul style="list-style-type: none"> <li>Remission of duty from 10% to 0% on raw materials for manufacturers of metal crown caps for one year.</li> </ul>                                                                                                                                                                                                                                   |
|    | Other appliances<br>-Parts Other plates, Other aromatic hydrocarbon mixtures Zinc oxide Natural magnesium, Other Lubricating preparations | <ul style="list-style-type: none"> <li>Remission of duty from 10% to 0% on other appliances, parts, other aromatic hydrocarbon mixtures, zinc oxide and natural magnesium for manufactures of tyres and tubes for one year.</li> <li>Remission of duty from 25% to 0% on other plates and other lubricating preparations for the manufactures of tyres and tubes for one year.</li> </ul> |

## MANUFACTURING SECTOR

| Item                                                                                | Description                                                                                                                                                                                                                  | Tax incentive                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
|-------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | <p>On a base of paper or paperboard only/sand paper jumbo roll</p> <p>-- Other/Paint brush bristles</p> <p>-- Unprinted/PVC strip</p> <p>- Adhesives based on polymers-Other Felt</p> <p>-Long pile</p>                      | <ul style="list-style-type: none"> <li>• Remission of duty from 25% to 10% on base of paper or paperboard only/sand paper jumbo roll, adhesives based on polymers, other felt, long pile for manufacturers of construction sand paper and paint brushes for one year.</li> <li>• Remission of duty from 10% to 0% for other/paint brush bristles and unprinted/PVC strip for manufacturers of construction sand paper and paint brushes for one year.</li> </ul>        |
|   | <p>Other paper, paperboard, Uncoated kraft paper and paperboard, other plates, sheets, film, foil and strip, of plastics, Paper or paperboard labels of all kinds, whether or not printed.</p>                               | <ul style="list-style-type: none"> <li>• Stay of application of the EAC CET rate of 35% and apply 25% for printed paper board for one year.</li> <li>• Stay of application of the EAC CET rate of 25% and apply 10% for other paper, other plates, sheets, film, foil and strip, of plastic for one year.</li> <li>• Stay of application of the EAC CET rate of 10% and apply 0% for uncoated kraft paper and paper board, and unprinted films for one year.</li> </ul> |
|  | <p>White refined sugar for industrial use. The industrial sugars category includes sweeteners that service food and confectionery manufacturers, as well as the catering, baking, pharmaceutical and beverage industries</p> | <ul style="list-style-type: none"> <li>• Duty remission to 25% on imported white refined sugar (for industrial use).</li> </ul>                                                                                                                                                                                                                                                                                                                                         |
|  | <p>Paper for use in the manufacture of exercise books and textbooks.</p>                                                                                                                                                     | <ul style="list-style-type: none"> <li>• Duty remission from 10% to 0% for manufacturers of exercise books and text books for one year.</li> </ul>                                                                                                                                                                                                                                                                                                                      |

## MANUFACTURING SECTOR

| Item                                                                                | Description                                                                                                                                                                                                                                                                                                           | Tax incentive                                                                                                                           |
|-------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------|
|    | <p>Stranded wire used in manufacture of tyres. In a stranded wire as opposed to solid wire is a composite of a bundle of small gauge wires wrapped in a particular pattern inside insulation to make a larger conductor.</p>                                                                                          | <ul style="list-style-type: none"> <li>Duty remission from 10% to 0% for manufacturers of tyres for one year.</li> </ul>                |
|    | <p>Treads for cold retreading used in retreading of tyres.</p> <p>The tread of a tyre or track refers to the rubber on its circumference that contacts the road or the ground.</p> <p>Retread, also known as “recap,” or a “remold” is a re-manufacturing process for tyres that replace the tread on worn tyres.</p> | <ul style="list-style-type: none"> <li>Duty remission to 0% for manufacturers of motor vehicle tyres for one year</li> </ul>            |
|  | <p>Raw materials for the manufacture of aluminium cans for the dairy industry.</p>                                                                                                                                                                                                                                    | <ul style="list-style-type: none"> <li>Duty remission from 25% to 0% for manufacturers of aluminium cans for one year</li> </ul>        |
|  | <p>Unassembled (Complete Knocked Down) motorcycle kits imported by approved local assemblers of motor cycles.</p>                                                                                                                                                                                                     | <ul style="list-style-type: none"> <li>Duty remission from 25% to 10% for assemblers of motor cycles</li> </ul>                         |
|  | <p>Unassembled (Complete Knocked Down) bicycle kits imported by approved local assemblers of bicycles.</p>                                                                                                                                                                                                            | <ul style="list-style-type: none"> <li>Duty remission from 25% to 10% for assemblers of bicycles</li> </ul>                             |
|  | <p>Raw materials and inputs used in the assembly of transformers and switch gears.</p>                                                                                                                                                                                                                                | <ul style="list-style-type: none"> <li>Duty remission to 0% for inputs used by assemblers of transformers and switch gears..</li> </ul> |

## MANUFACTURING SECTOR

| Item                                                                                | Description                                                                                                        | Tax incentive                                                                                                                                                                                                 |
|-------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | Raw materials for the manufacture of sanitary towels and tampons                                                   | <ul style="list-style-type: none"> <li>Duty remission to 0% for inputs used by manufacturers of sanitary towels and tampons</li> </ul>                                                                        |
|    | Inputs used for the production of solar panels                                                                     | <ul style="list-style-type: none"> <li>Duty remission to 0% for inputs used by manufacturers of solar panels</li> </ul>                                                                                       |
|    | Component parts and inputs for the assemblers of refrigerators and freezers                                        | <ul style="list-style-type: none"> <li>Remission of import duty rate of 10% under duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.</li> </ul> |
|   | Inputs and raw materials to use in the manufacture of food supplements for infants and nutrient deficient persons. | <ul style="list-style-type: none"> <li>Duty remission to 0% for inputs used by manufacturers of food supplements for infants and nutrient deficient persons.</li> </ul>                                       |
|  | Scrap batteries for manufacture of lead batteries                                                                  | <ul style="list-style-type: none"> <li>Duty remission to 0% for inputs used by manufacturers of lead batteries.</li> </ul>                                                                                    |
|  | Inputs used in the production of gas cylinders imported by manufacturers of such cylinders                         | <ul style="list-style-type: none"> <li>Duty remission to 0% for inputs used by manufacturers of gas cylinders.</li> </ul>                                                                                     |
|  | Inputs for manufacture of matches and match boxes.                                                                 | <ul style="list-style-type: none"> <li>Duty remission to 0% under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.</li> </ul>             |
|  | Inputs for the manufacture of dry cell batteries.                                                                  | <ul style="list-style-type: none"> <li>Duty remission to 0% for inputs used by manufacturers of dry cell batteries.</li> </ul>                                                                                |

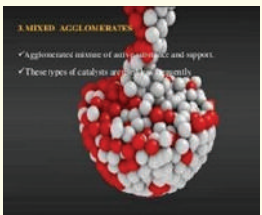
## MANUFACTURING SECTOR

| Item                                                                                | Description                                                                                                                                                  | Tax incentive                                                                                                                                                                                     |
|-------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | Inputs for the manufacture of deep cycle batteries                                                                                                           | <ul style="list-style-type: none"> <li>Duty remission to 0% under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.</li> </ul> |
|    | Materials for manufacture of mosquito nets                                                                                                                   | <ul style="list-style-type: none"> <li>Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004.</li> </ul>                                      |
|    | Inputs for use in the manufacture of medical diagnostic kits imported by manufacturers of medical diagnostic kits as approved by a Director medical services | <ul style="list-style-type: none"> <li>Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004.</li> </ul>                                      |
|  | Packing materials and raw materials for the manufacture of medicaments                                                                                       | <ul style="list-style-type: none"> <li>Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004.</li> </ul>                                      |
|  | Iron and steel products for manufacture of automobile leaf springs, bolts and nuts                                                                           | <ul style="list-style-type: none"> <li>Duty remission to 0% for iron and steel inputs used by manufacturers of automobile leaf springs, bolts and nuts.</li> </ul>                                |
|  | Trigger spray and lotion pumps for the manufacture of cosmetic containers                                                                                    | <ul style="list-style-type: none"> <li>Duty remission to 0% for trigger spray and lotion pumps as inputs used by manufacturers of cosmetic containers.</li> </ul>                                 |
|  | Noodles for the manufacture of toilet soap                                                                                                                   | <ul style="list-style-type: none"> <li>Duty remission to 10% for noodles as inputs used by manufacturers of toilet soap.</li> </ul>                                                               |

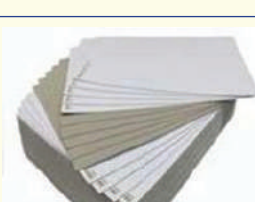
## MANUFACTURING SECTOR

| Item                                                                                | Description                                                                                                                      | Tax incentive                                                                                                                                                                                                  |
|-------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | Umbrella heads for roofing nails                                                                                                 | <ul style="list-style-type: none"> <li>Import duty remission to 10% for umbrella heads as inputs used by manufacturers of roofing nails</li> </ul>                                                             |
|    | Glucose Syrup                                                                                                                    | <ul style="list-style-type: none"> <li>Import duty remission to 0% for glucose syrup as inputs used in manufacturing</li> </ul>                                                                                |
|    | Odiferous mixtures of a kind used as raw materials in food and drink industries                                                  | <ul style="list-style-type: none"> <li>Import duty remission to 0% for odiferous mixtures of a kind used as inputs by manufacturers of food and drinks.</li> </ul>                                             |
|   | Inputs for the manufacture of toothbrushes                                                                                       | <ul style="list-style-type: none"> <li>Import duty remission to 0% for inputs used by manufacturers of toothbrushes.</li> </ul>                                                                                |
|  | Nylon yarns for the manufacture of fishing nets.                                                                                 | <ul style="list-style-type: none"> <li>Import duty remission to 0% for nylon yarns as inputs used by manufacturers of fishing nets.</li> </ul>                                                                 |
|  | Inputs imported by a manufacturer for the use in the manufacture of agricultural equipment.                                      | <ul style="list-style-type: none"> <li>Import duty remission to 0% for inputs used by manufacturers of agricultural equipment.</li> </ul>                                                                      |
|  | Inputs used in the manufacture of pesticides, fungicides, insecticides and acaricides as approved by the Ministry of Agriculture | <ul style="list-style-type: none"> <li>Import duty remission to 0% for inputs used by manufacturers of pesticides, fungicides, insecticides and acaricides approved by the Ministry of Agriculture.</li> </ul> |

## MANUFACTURING SECTOR

| Item                                                                                | Description                                                                                                                      | Tax incentive                                                                                                                                                                                                                       |
|-------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | Inputs used in the manufacture of energy stoves.                                                                                 | <ul style="list-style-type: none"> <li>Import duty remission to 0% for inputs used by manufacturers of energy stoves.</li> </ul>                                                                                                    |
|    | Inputs used in the manufacture of roofing tiles coated with acrylic paint and the weather side coated with natural sand granules | <ul style="list-style-type: none"> <li>Import duty remission to 0% for inputs used by manufacturers of roofing tiles coated with acrylic paint and the weather side coated with natural sand granules for one year</li> </ul>       |
|    | Jacquard material for making spring mattresses (printed with Logo)                                                               | <ul style="list-style-type: none"> <li>Import duty remission to 10% for Jacquard material as inputs used by manufacturers of spring mattresses (printed with Logo)</li> </ul>                                                       |
|  | Weave fabrics of polyester staple fibre Woven Grey Fabric of higher (finer) yarn counts for wet.                                 | <ul style="list-style-type: none"> <li>Import duty remission to 10% for Weave fabrics of polyester staple fibre, woven grey fabric of higher (finer) yarn counts material as inputs used by manufacturers of mattresses.</li> </ul> |
|  | Poly Cotton Material for making mattresses                                                                                       | <ul style="list-style-type: none"> <li>Import duty remission to 10% for poly cotton material as inputs used by manufacturers of mattresses.</li> </ul>                                                                              |
|  | Catalytic preparations for the manufacture of foam and spring mattresses                                                         | <ul style="list-style-type: none"> <li>Import duty remission to 10% for catalytic preparations as inputs used by manufacturers of foam and spring mattresses.</li> </ul>                                                            |
|  | Other springs and leaves for the manufacture of foam and spring mattresses                                                       | <ul style="list-style-type: none"> <li>Import duty remission to 10% for other springs and leaves as inputs used by manufacturers of foam and spring mattresses</li> </ul>                                                           |

## MANUFACTURING SECTOR

| Item                                                                                | Description                                                                                 | Tax incentive                                                                                                                                      |
|-------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------|
|    | Poly Vinyl Alcohol                                                                          | <ul style="list-style-type: none"> <li>Import duty remission to 0% for Poly Vinyl Alcohol as inputs used by manufacturers</li> </ul>               |
|    | Wheat Grain                                                                                 | <ul style="list-style-type: none"> <li>Stay of application of the EAC CET rate of 35% and apply 10% for one year.</li> </ul>                       |
|    | Barley                                                                                      | <ul style="list-style-type: none"> <li>Stay of application of the EAC CET rate of 25% and apply 10% for one year.</li> </ul>                       |
|   | Aerosol cans                                                                                | <ul style="list-style-type: none"> <li>Import duty remission to 0% on aerosol cans used in the packaging of insecticides and acaricides</li> </ul> |
|  | Organic surface-active agents (Anionic) (LABSA)<br>Organic surface-active agents (Cationic) | <ul style="list-style-type: none"> <li>Import duty remission to 0% for manufacturers of detergents and liquid soaps.</li> </ul>                    |
|  | Textile garments coated with gum for direct use in the manufacture of books                 | <ul style="list-style-type: none"> <li>Organic surface-active agents (Cationic)</li> </ul>                                                         |
|  | Duplex boards                                                                               | <ul style="list-style-type: none"> <li>Import duty remission to 0% for Duplex boards as inputs for manufacturers of corrugated boxes.</li> </ul>   |

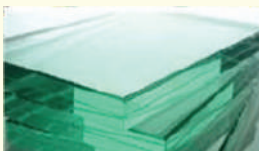
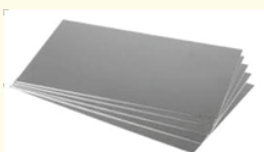
## MANUFACTURING SECTOR

| Item                                                                                | Description                                                                                                         | Tax incentive                                                                                                                                                                                                               |
|-------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | Inputs for assembly of ships                                                                                        | <ul style="list-style-type: none"> <li>Import duty remission to 0% for inputs used for assembling ships.</li> </ul>                                                                                                         |
|    | Inputs for assemblers of equipment specially designed for use by disabled, blind and physically handicapped persons | <ul style="list-style-type: none"> <li>Import duty remission to 0% for inputs used for the manufacture of filters</li> </ul>                                                                                                |
|    | Inputs for manufacture of filters                                                                                   | <ul style="list-style-type: none"> <li>Granted duty remission rate of 0% for one year under the duty remission scheme in accordance with section 140 of the East African Community Customs Management Act, 2004.</li> </ul> |
|  | Groats and meal of wheat                                                                                            | <ul style="list-style-type: none"> <li>Import duty remission to 0% for groats and meal of wheat as inputs for manufacturers of food products.</li> </ul>                                                                    |
|  | Active yeasts                                                                                                       | <ul style="list-style-type: none"> <li>Import duty remission to 10% on active yeasts as inputs for</li> <li>Manufacture of foods and drinks for one year.</li> </ul>                                                        |
|  | Mechanically Deboned Chicken Paste (MDM)                                                                            | <ul style="list-style-type: none"> <li>Import duty remission to 35% on mechanically deboned chicken paste (MDM) as inputs for the manufacture of food products.</li> </ul>                                                  |
|  | Unassembled speakers (CKD) inputs for assembly of speakers                                                          | <ul style="list-style-type: none"> <li>Import duty remission to 0% for unassembled speakers (CKD) used as inputs for assembly of speakers for one year.</li> </ul>                                                          |
|  | Unassembled (CKD) hot water kettles- inputs for assembly of hot water kettles                                       | <ul style="list-style-type: none"> <li>Import duty remission to 0% for unassembled (CKD) hot water kettles as inputs for the assembly of hot water kettles for one year.</li> </ul>                                         |

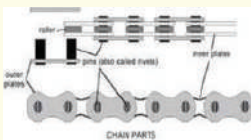
## MANUFACTURING SECTOR

| Item                                                                                | Description                                                        | Tax incentive                                                                                                                                                                                    |
|-------------------------------------------------------------------------------------|--------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | Unassembled (CKD) DVD players - inputs for assembly of DVD players | <ul style="list-style-type: none"> <li>Import duty remission to 0% for unassembled (CKD) DVD players as inputs for assembly of DVD players for one year.</li> </ul>                              |
|    | Unassembled flat iron (CKD) inputs for assembly of flat iron       | <ul style="list-style-type: none"> <li>Import duty remission to 0% for unassembled flat iron (CKD) as inputs for assembly of flat iron for one year.</li> </ul>                                  |
|    | Unassembled (CKD) blenders - inputs for assembly of blenders       | <ul style="list-style-type: none"> <li>Import duty remission to 0% for unassembled (CKD) blenders as inputs for the assembly of blenders for one year.</li> </ul>                                |
|   | Unassembled (CKD) LED, CFL bulbs - inputs for assembly of          | <ul style="list-style-type: none"> <li>Import duty remission to 0% for unassembled (CKD) LED, CFL bulbs as inputs for the assembly of LED &amp; CFL bulb for one year.</li> </ul>                |
|  | Unassembled floor, table and wall fans                             | <ul style="list-style-type: none"> <li>Import duty remission to 10% for unassembled floor, table and wall fans as inputs for the assembly of floor, table and wall fans for one year.</li> </ul> |
|  | Unassembled Cookers                                                | <ul style="list-style-type: none"> <li>Import duty remission to 0% for unassembled cookers as inputs for the assembly of cookers for one year.</li> </ul>                                        |
|  | Listed inputs for the manufacture of furniture                     | <ul style="list-style-type: none"> <li>Import duty remission to 0% for listed inputs for the manufacture of furniture for one year.</li> </ul>                                                   |
|  | Steel Blanks for Spoons and forks                                  | <ul style="list-style-type: none"> <li>Import duty remission to 10% for steel blanks for spoons and forks as inputs for the manufacture of steel spoons and forks for one year.</li> </ul>       |

## MANUFACTURING SECTOR

| Item                                                                                | Description                                                                                                                                                                                                                             | Tax incentive                                                                                                                                                                                                                                                                                                                                 |
|-------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | Stranded wire, ropes and cables for the manufacture of toughened and laminated glass                                                                                                                                                    | <ul style="list-style-type: none"> <li>Import duty remission to 0% for stranded wire, ropes and cables as inputs for manufacturers of toughened and laminated glass for one year.</li> </ul>                                                                                                                                                  |
|    | Other plates, sheets, film, foil and strip, of plastics, noncellular and not reinforced, laminated, supported or similarly combined with other materials. Of poly (vinyl butyral) for the manufacture of Toughened and laminated glass. | <ul style="list-style-type: none"> <li>Import duty remission to 0% for other plates, sheets, film, foil and strip, of plastics, noncellular and not reinforced, laminated, supported or similarly combined with other materials of poly (vinyl butyral) as inputs for manufacturers of toughened and laminated glass for one year.</li> </ul> |
|   | Non-wired glass for the manufacture of Toughened and laminated glass.                                                                                                                                                                   | <ul style="list-style-type: none"> <li>Import duty remission to 0% for non-wired glass as inputs for manufacturers of toughened and laminated glass for one year.</li> </ul>                                                                                                                                                                  |
|  | Paints and varnishes (including enamels and lacquers) based on synthetic polymers or chemically modified natural polymers, dispersed or dissolved in a non-aqueous medium for the manufacture of decorative aluminium panels            | <ul style="list-style-type: none"> <li>Import duty remission to 0% for paints and varnishes (including enamels and lacquers) based on synthetic polymers or chemically modified natural polymers, dispersed or dissolved in a non-aqueous medium as inputs for manufacturers of decorative aluminium panels for one year.</li> </ul>          |
|  | Aluminium plates, sheets and strip of a thickness exceeding 0.2 mm of aluminium alloy for the manufacture of decorative aluminium panels                                                                                                | <ul style="list-style-type: none"> <li>Import duty remission to 10% for aluminium plates, sheets and strip of a thickness exceeding 0.2 mm of aluminium alloy as inputs for manufacturers of decorative aluminium panels for one year.</li> </ul>                                                                                             |
|  | Listed inputs for the manufacture of baby diapers                                                                                                                                                                                       | <ul style="list-style-type: none"> <li>Import duty remission to 0% for listed inputs for manufacturers of baby diapers for one year.</li> </ul>                                                                                                                                                                                               |

## MANUFACTURING SECTOR

| Item                                                                                | Description                                                                                 | Tax incentive                                                                                                                                                                                             |
|-------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | Acrylic polymers for manufacture of paints                                                  | <ul style="list-style-type: none"> <li>Import duty remission to 0% for acrylic polymers as inputs for manufacturers of paints for one year.</li> </ul>                                                    |
|    | Listed inputs for the manufacture of textiles (garments)                                    | <ul style="list-style-type: none"> <li>Import duty remission to 0% for listed inputs for manufacturers of textiles (garments) for one year.</li> </ul>                                                    |
|    | Listed inputs for the manufacture of footwear (shoes)                                       | <ul style="list-style-type: none"> <li>Import duty remission to 0% for listed inputs for manufacturers of footwear (shoes) for one year.</li> </ul>                                                       |
|   | Raw salt for the manufacture of edible salt of sub-heading 2501.00.10                       | <ul style="list-style-type: none"> <li>Import duty remission to 10% for raw salt as inputs for manufacturers of edible salt for one year.</li> </ul>                                                      |
|  | Inputs for the assembly/ manufacture of mobile phones                                       | <ul style="list-style-type: none"> <li>Import duty remission to 0% for inputs for the assembly/ manufacture of mobile phones for one year.</li> </ul>                                                     |
|  | Parts of chains for assemblers of chains for motorcycles, bicycles and industrial machinery | <ul style="list-style-type: none"> <li>Import duty remission to 0% for parts of chains as inputs for the assemblers of chains for motorcycles, bicycles and industrial machinery for one year.</li> </ul> |
|  | Valves and their corresponding component parts used for the manufacture of motorcycle tubes | <ul style="list-style-type: none"> <li>Import duty remission to 0% for valves and their corresponding component parts as inputs for the manufacture of motorcycle tubes for one year.</li> </ul>          |

## MANUFACTURING SECTOR

| Item                                                                                                                                                                | Description                                                                                | Tax incentive                                                                                                                                                                                                                                                |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|   | Brake linings and pads, Brakes and servo-brakes; parts thereof; Other Adhesive Glues       | <ul style="list-style-type: none"> <li>Import duty remission to 0% for brake linings and pads, brakes and servo-brakes; parts thereof; other adhesive glues as inputs for the manufacture of motorcycle inner tubes and brake shoes for one year.</li> </ul> |
|                                                                                    | High tensile galvanized wire                                                               | <ul style="list-style-type: none"> <li>Import duty remission to 10% to manufacturers of electric cables for one year.</li> </ul>                                                                                                                             |
|                                                                                   | Aluminium wire, not alloyed: -- Of which the maximum cross-sectional dimension exceeds 7mm | <ul style="list-style-type: none"> <li>Import duty remission to 0% to manufacturers of electric cables for one year</li> </ul>                                                                                                                               |
|                                                                                  | Wires of alloyed steel                                                                     | <ul style="list-style-type: none"> <li>Stay of application of the EAC CET rate of 10% and apply a rate of 0% for one year</li> </ul>                                                                                                                         |
|                                                                                  | Other Zinc coated coils                                                                    | <ul style="list-style-type: none"> <li>Import duty remission to 0% to galvanized coils of a thickness of 2.5mm as inputs for manufacturers of guard rails for one year.</li> </ul>                                                                           |

## MANUFACTURING SECTOR

| Item                                                                                                                                                                    | Description                                                                                                                                                                                 | Tax incentive                                                                                                                                                         |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|       | Listed Packaging materials and plastic materials for coffee                                                                                                                                 | <ul style="list-style-type: none"> <li>Import duty remission to 0% on packaging material as inputs for domestic processors of coffee, for one year.</li> </ul>        |
|                                                                                        | Listed equipment for polishing and Heating gemstones                                                                                                                                        | <ul style="list-style-type: none"> <li>Import duty remission to 0% on Listed equipment as inputs for polishing and heating gemstones for one year.</li> </ul>         |
|                                                                                       | Petroleum jelly                                                                                                                                                                             | <ul style="list-style-type: none"> <li>Import duty remission to 0% on Petroleum jelly as inputs for the manufacture of cosmetic products for one year.</li> </ul>     |
|                                                                                      | Polyurethane resins                                                                                                                                                                         | <ul style="list-style-type: none"> <li>Import duty remission to 0% on Polyurethane resins as inputs for the manufacture of footwear products for one year.</li> </ul> |
|   | <p>Uncoated/Unbleached Kraft Liner paperboard, in rolls or sheets, Glues based on starch.</p> <p>Uncoated/Unbleached Kraft Liner paperboard, in rolls or sheets, Glues based on starch.</p> | <ul style="list-style-type: none"> <li>Import duty remission from 35% and 10% for one year.</li> <li>Import duty remission from 10% and 0% for one year.</li> </ul>   |

## MANUFACTURING SECTOR

| Item                                                                                | Description                                                                                                                                                                                                                                                                                                                                                                         | Tax incentive                                                                                                                                                                                                                  |
|-------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | Unbleached sack Kraft paper in rolls or sheets                                                                                                                                                                                                                                                                                                                                      | <ul style="list-style-type: none"> <li>Import duty remission to 0% on unbleached sack Kraft paper in rolls or sheets as inputs for the manufacture of packaging materials.</li> </ul>                                          |
|    | Paper and paperboard coated, impregnated or covered with plastics (excluding adhesives)                                                                                                                                                                                                                                                                                             | <ul style="list-style-type: none"> <li>Import duty remission to 0% on paper and paperboard coated, impregnated or covered with plastics (excluding adhesives) as inputs for the manufacture of packaging materials.</li> </ul> |
|    | Other plates, sheets, film, foil and strip, of plastic --- unprinted                                                                                                                                                                                                                                                                                                                | <ul style="list-style-type: none"> <li>Import duty remission to 0% on other plates, sheets, film, foil and strip, of plastic unprinted as inputs for the printing sector</li> </ul>                                            |
|   | Greaseproof papers; and Other, Other Kraft paper and paperboard                                                                                                                                                                                                                                                                                                                     | <ul style="list-style-type: none"> <li>Import duty remission to 0% on Greaseproof papers; and Other, Other Kraft paper and paperboard as inputs for the manufacture of packaging materials.</li> </ul>                         |
|  | <p>Various goods entering the export processing zone or Freeport strictly for manufacturing of goods for export.</p> <p>“Export processing zone” means a designated part of Customs territory where any goods introduced are generally regarded, in so far as import duties and taxes are concerned, as being outside Customs territory but are restricted by controlled access</p> | <ul style="list-style-type: none"> <li>Goods entering an export processing zone or a freeport shall be exempt from duty in accordance with the East African Community Customs Management Act</li> </ul>                        |
|  | Plant and machinery                                                                                                                                                                                                                                                                                                                                                                 | <ul style="list-style-type: none"> <li>VAT deferment:<br/>The VAT to be deferred should exceed \$4,000 among other conditions as specified in the VAT Deferment Regulations 2013.</li> </ul>                                   |

## MANUFACTURING SECTOR

| Item                                                                                                                                                                    | Description                                                                                                                                      | Tax incentive                                                                                                                                                  |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                                        | The imports should be replacement parts imported by a registered manufacturer                                                                    | <ul style="list-style-type: none"> <li>Exempted from all taxes under the fifth schedule of the East African Community Customs Management Act, 2004.</li> </ul> |
| <br> | Packing material of any kind designed for packaging goods for export.<br>Pallets and pre-packing slings designed for packaging goods for export. | <ul style="list-style-type: none"> <li>Exempted from all taxes under the fifth schedule of the East African Community Customs Management Act, 2004.</li> </ul> |

## TRANSPORT SECTOR

| Item                                                                                | Description                                                                                                                                                                                                                                                                                                                             | Tax incentive                                                                                                                                                 |
|-------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------|
|  | Aircraft Operations Some of the items include Aircraft, aircraft engines, parts and accessories thereof, lighting, radio and radar apparatus and equipment of specialized nature imported for use by the national carrier or any airline, approved ground handler or caterer possessing an Agreement with Government of a partner state | <ul style="list-style-type: none"> <li>Exempted from all taxes under the fifth schedule of the East African Community Customs Management Act, 2004</li> </ul> |
|  | Commercial Vehicles of gross weight 20 tonnes and above.                                                                                                                                                                                                                                                                                | <ul style="list-style-type: none"> <li>Import duty is at a rate of 10% for one year, VAT is payable</li> </ul>                                                |
|  | Road Tractors for semi - trailers.                                                                                                                                                                                                                                                                                                      | <ul style="list-style-type: none"> <li>Import duty is at a rate of 0% for one year, VAT is payable.</li> </ul>                                                |

## TRANSPORT SECTOR

| Item                                                                                | Description                                                                                                                                                                                                                                                                                                                | Tax incentive                                                                                                                                                 |
|-------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | 1. Ships and other vessels<br>Passenger and cargo vessels, Cable ships, floating factories, whale catching vessels, other commercial fishing vessels EXCEPT sport fishing vessels, flat decked vessels used for transportation of persons or goods, Ferry boats, parts and accessories EXCEPT batteries and sparking plugs | <ul style="list-style-type: none"> <li>Exempted from all taxes under the fifth schedule of the East African Community Customs Management Act, 2004</li> </ul> |
|    | Battery operated vehicles for use in hotels, hospitals and airports..                                                                                                                                                                                                                                                      | <ul style="list-style-type: none"> <li>Exempted from all taxes under the fifth schedule of the East African Community Customs Management Act, 2004</li> </ul> |
|  | Motor vehicles specially designed for refuse/ garbage collection and disposal imported or purchased by local authorities / persons contracted by local authorities to collect refuse/ garbage.                                                                                                                             | <ul style="list-style-type: none"> <li>Exempted from all taxes under the fifth schedule of the East African Community Customs Management Act, 2004</li> </ul> |

## OIL AND GAS SECTOR

| Item                                                                                | Description                                                                                                                                                                                          | Tax incentive                                                                                                                                                                                                                                                                                                                                                                                |
|-------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|  | Equipment for use in the oil and gas sector. These include: Equipment and inputs and goods for direct and exclusive use in oil, gas or geothermal exploration and development EXCEPT motor vehicles. | <ul style="list-style-type: none"> <li>Exempted of all taxes under the fifth schedule of the East African Community Customs Management Act upon recommendation by a competent authority (i.e. in Uganda, these are the Petroleum Authority of Uganda (PAU) - for exploration and development, and the East African Crude Oil Pipeline (EACOP) project - for the pipeline project)</li> </ul> |

## EDUCATION AND SPORTS SECTOR

| Item                                                                                | Description                                                      | Tax incentive                                                                                                                                                                                                                       |
|-------------------------------------------------------------------------------------|------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | Educational materials as provided for in the Florence Agreement. | <ul style="list-style-type: none"> <li>All approved educational articles and materials specified in the Florence agreement are tax exempt under the fifth schedule of the East African Community Customs Management Act.</li> </ul> |
|    | One motor vehicle for a rally driver and spare parts.            | <ul style="list-style-type: none"> <li>Exempted from all taxes under the fifth schedule of the East African Community Customs Management Act, 2004</li> </ul>                                                                       |
|    | One Motor cycle for racing/ rally                                | <ul style="list-style-type: none"> <li>Exempted from all taxes under the fifth schedule of the East African Community Customs Management Act, 2004</li> </ul>                                                                       |
|  | One Bicycle for racing/ rally                                    | <ul style="list-style-type: none"> <li>Exempted from all taxes under the fifth schedule of the East African Community Customs Management Act, 2004</li> </ul>                                                                       |
|  | Mathematical sets & geometry sets used in educational services   | <ul style="list-style-type: none"> <li>Exempted from VAT under the VAT Act. Import duty is 0% under East African Community Common External Tariff</li> </ul>                                                                        |
|  | Woodworking machines                                             | <ul style="list-style-type: none"> <li>Exempted from VAT under the VAT Act. Import duty is 0% under East African Community Common External Tariff</li> </ul>                                                                        |
|  | Welding machines                                                 | <ul style="list-style-type: none"> <li>Exempted from VAT under the VAT Act. Import duty is 0% under East African Community Common External Tariff</li> </ul>                                                                        |
|  | Sewing machines                                                  | <ul style="list-style-type: none"> <li>Exempted from VAT under the VAT Act. Import duty is 0% under East African Community Common External Tariff.</li> </ul>                                                                       |

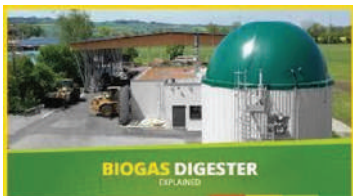
## EDUCATION AND SPORTS SECTOR

| Item                                                                                                                                                                                                                                                           | Description                                                                                                                                                                                                                                     | Tax incentive                                                                                                                                                |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                                                                                                                               | Crayons, coloured pencils, lead pencils, rulers, erasers, stencils, technical drawing sets, educational computer tablets, educational computer applications or laboratory chemicals for teaching science subjects used in educational services. | <ul style="list-style-type: none"> <li>Exempted from VAT under the VAT Act.</li> </ul>                                                                       |
| <br><br> | Textbooks<br>Bible and Qur'an                                                                                                                                                                                                                   | <ul style="list-style-type: none"> <li>Exempted from VAT under the VAT Act. Import duty is 0% under East African Community Common External Tariff</li> </ul> |

## ENERGY SECTOR

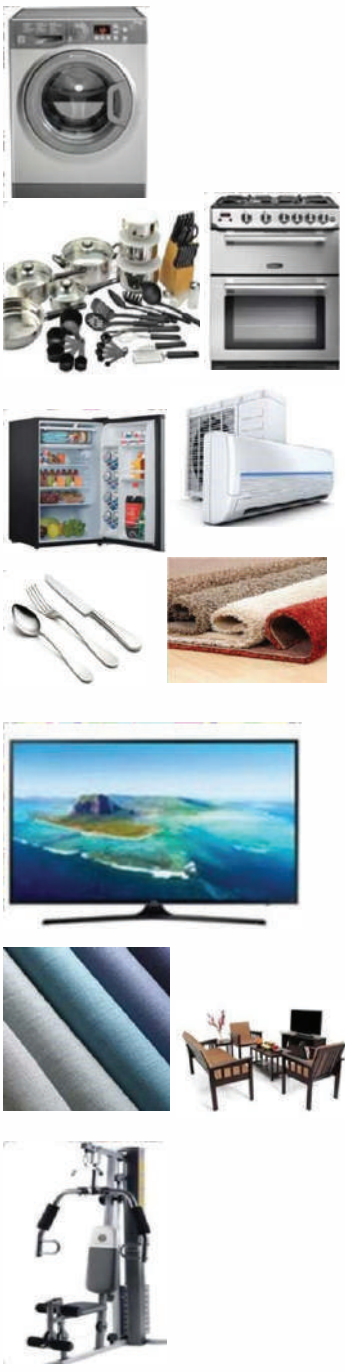
| Item                                                                                | Description                                                                                                                                                                                                                                                                                                                                                            | Tax incentive                                                                                                                                                |
|-------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------|
|  | <p>Specialized equipment for development and generation of solar and wind energy, including accessories and deep cycle batteries which use and/ or store power.</p> <p>These include:</p> <ul style="list-style-type: none"> <li>• Deep cycle batteries</li> <li>• Solar panels</li> <li>• Direct current inverters</li> </ul> <p>Direct current charge controller</p> | <ul style="list-style-type: none"> <li>Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004.</li> </ul> |

## ENERGY SECTOR

| Item                                                                              | Description                                    | Tax incentive                                                                                                                                                  |
|-----------------------------------------------------------------------------------|------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------|
|  | Penstock pipes for use in hydro power projects | <ul style="list-style-type: none"> <li>Exempted from VAT under the VAT Act. Import duty is 0 % under East African Community Common External Tariff.</li> </ul> |
|  | Bio gas digesters                              | <ul style="list-style-type: none"> <li>Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004</li> </ul>    |
|  | Water treatment effluent plant                 | <ul style="list-style-type: none"> <li>Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004</li> </ul>    |

## HOTEL AND TOURISM

Any of the following goods imported by licensed Hotels, engraved, printed or marked with Logo

| Item                                                                               | Description                                                                                                                                                                                                                                                                                                                                                                               | Tax incentive                                                                                                                                                 |
|------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------|
|  | <ul style="list-style-type: none"> <li>a) Washing machines</li> <li>b) Kitchen ware</li> <li>c) Cookers, utensils, device, or apparatus for cooking</li> <li>d) Fridges and freezers</li> <li>e) Air conditioning systems</li> <li>f) Cutlery</li> <li>g) Televisions</li> <li>h) Carpets</li> <li>i) Furniture</li> <li>j) Linen and curtains</li> <li>k) Gymnasium equipment</li> </ul> | <ul style="list-style-type: none"> <li>• Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004</li> </ul> |

## HOTEL AND TOURISM

| Item                                                                                | Description                                                                                                                                                                                                                                                                     | Tax incentive                                                                                                                                                 |
|-------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | a) Motor-car for transportation of tourists imported by tour operators upon recommendation by a competent authority responsible for tourism promotion in a partner state provided the Vehicles meet the conditions as stipulated in the 5th Schedule of EACCMA                  | <ul style="list-style-type: none"> <li>Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004</li> </ul>   |
|    | Sightseeing buses with some specifications such as;<br>Comfortable reclining coach seats, lavatory facilities, first aid equipment provisions, among others as stipulated in the 5th Schedule of EACCMA                                                                         |                                                                                                                                                               |
|  | Over land truck with some specifications such as;<br>High clearance for off road driving, comfortable reclining coach seats, inverter for charging electrical items, camping stocks, tents, kitchen and food storage, among others, as stipulated in the 5th Schedule of EACCMA | <ul style="list-style-type: none"> <li>Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004</li> </ul>   |
|  | 7) Tourism boats                                                                                                                                                                                                                                                                | <ul style="list-style-type: none"> <li>Tourism boats imported by a licensed tour operator exempted from taxes under the 5th Schedule of the EACCMA</li> </ul> |

## SECURITY SECTOR

| Item                                                                              | Description                                                                                                                                                             | Tax incentive                                                                                                                                               |
|-----------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Duty free import of gadgets used in promoting security of public spaces</b>    |                                                                                                                                                                         |                                                                                                                                                             |
|  | <p>Walk through metal detectors</p> <p>Closed-Circuit Television Cameras (CCTV)</p> <p>Hand held metal detectors</p> <p>Bomb detectors</p> <p>Under carriage Mirror</p> | <ul style="list-style-type: none"> <li>Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004</li> </ul> |

## HEALTH & MEDICAL SECTOR

| Item                                                                                                                                                                                                                                                  | Description                                                                                                                                                                                                                                                                                                                     | Tax incentive                                                                                                                                               |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Any of the following goods engraved or printed or marked with the hospital logo imported for use in licensed hospitals, as recommended by the Director of Medical Services subject to such conditions and limitations as the Commissioner may impose. |                                                                                                                                                                                                                                                                                                                                 |                                                                                                                                                             |
|                                                                                                                                                                    | <p>a) Shadow-less lamps for use in operating theatres</p> <p>b) Blood freezers</p> <p>c) Kitchen ware and equipment</p> <p>d) Laundry equipment</p> <p>e) Mattresses and linen</p> <p>f) Bedside screens</p> <p>g) Air conditioners</p> <p>h) Water heating equipment</p> <p>i) Trolleys and stretchers</p> <p>j) Furniture</p> | <ul style="list-style-type: none"> <li>Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004</li> </ul> |
|                                                                                                                                                                    | Packaging material for medicines                                                                                                                                                                                                                                                                                                | <ul style="list-style-type: none"> <li>Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004</li> </ul> |

## HEALTH & MEDICAL SECTOR

| Item                                                                                | Description                                                                                                                                                                                                         | Tax incentive                                                                                                                                                 |
|-------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | Raw materials for the manufacture of medicaments                                                                                                                                                                    | <ul style="list-style-type: none"> <li>Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004</li> </ul>   |
|    | Examination gloves for laboratory and medical use.                                                                                                                                                                  | <ul style="list-style-type: none"> <li>Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004</li> </ul>   |
|    | Hospital furniture imported by dealers for supply to licensed hospitals                                                                                                                                             | <ul style="list-style-type: none"> <li>Exempted from excise duty under the Excise Duty Act.</li> </ul>                                                        |
|   | Medical Autoclaves: A medical autoclave is a device that uses steam to sterilize equipment and other objects. This means that all bacteria, viruses, fungi, and spores are inactivated                              | <ul style="list-style-type: none"> <li>Exempted from VAT under the VAT Act. Import duty is 0% under East African Community Common External Tariff.</li> </ul> |
|  | X-Ray Machines for medical use: X ray machine means an electrically powered device producing x rays for the irradiation of a human being or an animal for a therapeutic or diagnostic purpose or for industrial use | <ul style="list-style-type: none"> <li>Exempted from VAT under the VAT Act. Import duty is 0% under East African Community Common External Tariff.</li> </ul> |
|  | Chemical Analysers for blood analysis                                                                                                                                                                               | <ul style="list-style-type: none"> <li>Exempted from VAT under the VAT Act. Import duty is 0% under East African Community Common External Tariff.</li> </ul> |

## HEALTH & MEDICAL SECTOR

| Item                                                                                | Description                                                                                                                                                                                                 | Tax incentive                                                                                                                                                  |
|-------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | Ophthalmic instruments and appliances: These devices are used to examine the eyes.                                                                                                                          | <ul style="list-style-type: none"> <li>Exempted from VAT under the VAT Act. Import duty is 0 % under East African Community Common External Tariff.</li> </ul> |
|    | Dental drill equipment                                                                                                                                                                                      | <ul style="list-style-type: none"> <li>Exempted from VAT under the VAT Act. Import duty is 0% under East African Community Common External Tariff.</li> </ul>  |
|   | Ultrasound machinery                                                                                                                                                                                        | <ul style="list-style-type: none"> <li>Exempted from VAT under the VAT Act. Import duty is 0% under East African Community Common External Tariff.</li> </ul>  |
|  | Syringes: A medical device that is used to inject fluid into, or withdraw fluid from, the body. A medical syringe consists of a needle attached to a hollow cylinder that is fitted with a sliding plunger. | <ul style="list-style-type: none"> <li>Exempted from VAT under the VAT Act. Import duty is 0% under East African Community Common External Tariff.</li> </ul>  |

## HEALTH & MEDICAL SECTOR

| Item                                                                                | Description                                                                                                                                                                                                                                                                                                                 | Tax incentive                                                                                                                                                |
|-------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | Cardio graphic machine: A machine for recording the beating of the heart.                                                                                                                                                                                                                                                   | <ul style="list-style-type: none"> <li>Exempted from VAT under the VAT Act. Import duty is 0% under East African Community Common External Tariff</li> </ul> |
|   | Wheel chairs and Crutches                                                                                                                                                                                                                                                                                                   | <ul style="list-style-type: none"> <li>Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004.</li> </ul> |
|  | Artificial parts of the body (teeth, legs, joints): Dentures, (also known as false teeth), are prosthetic devices constructed to replace missing teeth; they are supported by the surrounding soft and hard tissues of the oral cavity. Conventional dentures are removable (removable partial denture or complete denture. |                                                                                                                                                              |

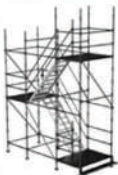
## HEALTH & MEDICAL SECTOR

| Item                                                                                | Description                                                                                                                                                                                                                                                                                           | Tax incentive |
|-------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|
|    | Prosthesis: This is an artificial device/ substitute or that replaces a missing body part such as tooth, leg, arm, knee, facial bone, another joint, hip etc. which may be lost through trauma, disease, or congenital conditions                                                                     |               |
|    | Hearing aid: This is a small electronic device that you wear in or behind your ear. It makes some sounds louder so that a person with hearing loss can listen, communicate, and participate more fully in daily activities A hearing aid can help people hear more in both quiet and noisy situations |               |
|  |                                                                                                                                                                                                                                                                                                       |               |
|  | Medicated cotton wool                                                                                                                                                                                                                                                                                 |               |
|                                                                                     | Medical bandage                                                                                                                                                                                                                                                                                       |               |
|  | Refrigeration equipment for dead bodies for use in Hospital, city council or funeral home”                                                                                                                                                                                                            |               |

## HEALTH & MEDICAL SECTOR

| Item                                                                              | Description          | Tax incentive                                                                                                                                 |
|-----------------------------------------------------------------------------------|----------------------|-----------------------------------------------------------------------------------------------------------------------------------------------|
|  | Motor boat ambulance | <ul style="list-style-type: none"> <li>Import duty is 0% under East African Community Common External Tariff and exempted from VAT</li> </ul> |

## CONSTRUCTION SECTOR

| Item                                                                                | Description                                                                                                                              | Tax incentive                                                                                                                                                                                                                                                                                                   |
|-------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | <ul style="list-style-type: none"> <li>Specialised vehicles</li> <li>Concrete Mixers – Self propelled</li> <li>Concrete Pumps</li> </ul> | <ul style="list-style-type: none"> <li>Import duty is 0% under East African Community Common External Tariff and VAT is deferrable for VAT registered companies.</li> <li>However, the VAT deferred should exceed \$4,000 among other conditions as specified in the VAT Deferment Regulations 2013.</li> </ul> |
|   | Earth Moving Machinery <ul style="list-style-type: none"> <li>Excavators</li> <li>Bull dozers</li> <li>Angle Dozers</li> </ul>           | <ul style="list-style-type: none"> <li>Import duty is 0% under East African Community Common External Tariff and VAT is deferrable for VAT registered companies.</li> <li>However, the VAT deferred should exceed \$4,000 among other conditions as specified in the VAT Deferment Regulations 2013.</li> </ul> |
|  | Cranes for Construction                                                                                                                  | <ul style="list-style-type: none"> <li>Import duty is 0% under East African Community Common External Tariff and VAT is deferrable for VAT registered companies.</li> <li>However, the VAT deferred should exceed \$4,000 among other conditions as specified in the VAT Deferment Regulations 2013.</li> </ul> |
|  | Scaffolding                                                                                                                              | Import duty is 0% when obtained in the EAC under the EAC rules of origin                                                                                                                                                                                                                                        |

## CONSTRUCTION SECTOR

| Item                                                                                | Description                                                                                                                                                                                                                                                                            | Tax incentive                                                                                                                                                                                                                       |
|-------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | <p>Surveying Equipment</p> <ul style="list-style-type: none"> <li>• Global Positioning Systems (GPS)</li> <li>• Theodolites</li> <li>• Line of site equipment</li> <li>• Rangefinders They are largely used by road construction firms, surveyors, oil exploration, mining.</li> </ul> | <ul style="list-style-type: none"> <li>• Import duty is 0% under East African Community Common External Tariff.</li> </ul>                                                                                                          |
|    | <p>Temporary imports of Construction Machinery of a specialised nature for use in the construction sector that is not listed above. Terms and conditions as specified in the East African Community - Customs Management Act, 2004 apply.</p>                                          | <ul style="list-style-type: none"> <li>• Taxes suspended and goods secured on bond that is cancelled upon reexport.</li> </ul>                                                                                                      |
|  | <p>Pipe line construction of oil and gas from Uganda to Dar-es-salaam</p>                                                                                                                                                                                                              | <ul style="list-style-type: none"> <li>• Inputs for use in the construction of the oil and gas pipeline are exempted from all taxes under the fifth schedule of the East African Community Customs Management Act, 2004.</li> </ul> |
|  | <p>Hydro power construction equipment and inputs supplied to a person who has a contract with the government of Uganda.</p>                                                                                                                                                            | <ul style="list-style-type: none"> <li>• Exempted from VAT at importation.</li> </ul>                                                                                                                                               |

## CONSTRUCTION SECTOR

| Item                                                                                | Description                                                                                                                                                                                                                                    | Tax incentive                                                                                                                                                                                                                                     |
|-------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | Imports from Regional Economic Communities (RECs) that include East African Community (EAC), Common Market for East and Central Africa (COMESA) and the TRIPARTITE that includes EAC, COMESA and SADC (South African Development Co-operation) | <ul style="list-style-type: none"> <li>Imports from the Regional Economic Communities are given preferential import duty treatment under the respective RECs Rules of origin.</li> </ul>                                                          |
|    | Pre-fabricated buildings for factory use imported by registered manufacturers or other entities such as warehouse construction.                                                                                                                | <ul style="list-style-type: none"> <li>VAT Deferrable for pre-fabricated buildings for factory use.</li> <li>However, the VAT deferred should exceed \$4,000 among other conditions as specified in the VAT Deferral Regulations 2013.</li> </ul> |
|  | The supply of earth moving equipment and machinery for development of an industrial park or free zone to a developer of an industrial park or free zone whose investment is at least fifty million United States Dollars                       | <ul style="list-style-type: none"> <li>VAT exempt under the VAT Act at importation.</li> </ul>                                                                                                                                                    |
|  | The supply of construction materials for development of an industrial park or free zone to a developer of an industrial park or free zone whose investment is at least fifty million United States Dollars                                     | <ul style="list-style-type: none"> <li>VAT exempt under the VAT Act at importation. Excise duty is nil</li> </ul>                                                                                                                                 |

### DISCLAIMER:

This Information is strictly for purposes of guidance to our clientele and is subject to change on amendment of tax legislations & any other regulations that govern tax administration.



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